

MINUTES OF EXIT MEETING BETWEEN AUDITORS/OAG AND SPIU MINECOFIN IN RESPECT OF THE AUDIT OF PROJECTS (PUBLIC FINANCE MANAGEMENT REFORM BASKET FUND, PUBLIC FINANCE MANAGEMENT REFORM PROJECT, SPIU-MINECOFIN, ACCESS TO FINANCE FOR RECOVERY AND RESILIENCE AND U-SACCOs AUTOMATION PROJECT TOWARDS COOPERATIVE BANK) FOR THE YEAR ENDED 30 JUNE 2024.

Date: 16 November 2024

Venue: MINECOFIN Boardroom.

Starting time: 10:15 PM

On 16 November 2024, the audit team from Office of the Auditor General of State Finance (OAG) held an exit meeting with the SPIU MINECOFIN

The following staff were present:

On behalf of OAG:

S/N	Names	Position	E-Mail
1	HARUNA TWAHA	Audit Director	Haruna.Twaha@oag.gov.rw
2	UWANYIRIGIRA Laetitia	Principal Auditor	Laetitia.Uwanyirigira@oag.gov.rw
3	UMURERWA Alice	Principal Auditor	Alice.Umurerwa@oag.gov.rw
4	KAYITARE Etienne	Auditor	Etienne.Kayitare@oag.gov.rw
5	ICYUZUZO Pacifique	Auditor	Pacifique.Icyuzuzo@oag.gov.rw

On behalf of SPIU-Minecofin:

S/N	Names	Position	Email
1	Marie Ange H. INGABIRE	HOD CS	ange.ingabire@minecofin.gov.rw
2	Vincent NKURANGA	SPIU Coordinator	vincent.nkuranga@minecofin.gov.rw
3	Faith Kobusinge MUGAMBWA	U-SACCOs Project Coordinator	faith.kobusinge@minecofin.gov.rw
4	MUGUMYABANGA Liliane	Program Finance Manager	liliane.mugumyabanga@minecofin.gov.rw
5	Obald HAKIZIMANA	AFIRR Project Coordinator	obald.hakizimana@minecofin.gov.rw
6	AHUMUZA Emmanuel Keita	Financial Mgt Specialist	keita.ahumuza@minecofin.gov.rw
7	Liliane UMUHOZA	Accountant	liliane.umuhoza@minecofin.gov.rw
8	Andrew RUTAGONYA KAZUNGU	PFM Reform Program Manager	andrew.kazungu@minecofin.gov.rw
9	Ivan HIRWA	M&E Specialist	andrew.kazungu@minecofin.gov.rw
10	Florence UMURUNGI	Procurement Specialist	Florence.umurungi@minecofin.gov.rw
11	Julius HIGIRO	Procurement Specialist	julius.higiro@minecofin.gov.rw

In her opening remarks, the HOD CS/ MINECOFIN welcomed the participants and invited them for presentation. After presentation, she further reminded that the meeting aims at closing the audit assignment of projects (Public Finance Management Reform basket fund, Public Finance Management Reform, SPIU-MINECOFIN, Access to finance for recovery and resilience and U-SACCOS Automation Project towards cooperative bank) for the year ended 30 June 2024.

Then, the floor was given to the SPIU coordinate to lead the meeting and he started by appreciating the good collaboration of auditors and SPIU-MINECOFIN staff throughout the audit assignment.

The meeting agreed that the discussions will emphasise on the issues on which the management has concern and those with auditor's comments.

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IN RESPECT OF THE AUDIT OF PROJECTS (PUBLIC FINANCE MANAGEMENT
REFORM BASKET FUND, PUBLIC FINANCE MANAGEMENT REFORM PROJECT,
SPIU-MINECOFIN, ACCESS TO FINANCE FOR RECOVERY AND RESILIENCE AND
U-SACCOs AUTOMATION PROJECT TOWARDS COOPERATIVE BANK) FOR THE
YEAR ENDED 30 JUNE 2024.**

Thereafter, the floor was given to the participants for each and every one to raise any concern on any issue in the draft audit report to be discussed in the meeting. Key audit findings in the draft audit reports (Financial, compliance and value for money) raised to be discussed and resolutions made are shown in the attached *appendix1*:

After the discussions on the highlighted issues in draft audit reports by all the participant, audit director thanked SPIU-MINECOFIN and its staff for participating in the meeting. He further requested the Management to own the report in order to help in its smooth and timely finalization of reports.

In her closing remarks, HOD CS/ MINECOFIN committed that SPIU-MINECOFIN will work closely with the auditors to provide improved management comments where needed and avail remaining documents, she also took the opportunity to appreciate the good cooperation between both sides in this assignment.

The meeting ended at 11h15' AM

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Appendix I: Key audit findings in the draft audit reports (Financial, compliance and value for money) raised to be discussed and resolutions made

	Observations	Management comments	Auditor's comments	Meeting resolutions
I.	ACCESS TO FINANCE FOR RECOVERY AND RESILIENCE			
1.	National Steering Committee (NSC) and Project Technical Committee (PTC) not met on a regular basis Observation Section 1 point 3 of the agreement signed between Government of Rwanda and International Development Association (IDA) states that the National Steering Committee (NSC) shall be responsible for discussing policy and strategic issues related to the project and providing high level project oversight and policy coordination. Further, point 4 of the same agreement states that the Project Technical Committee (PTC) shall be responsible for providing strategic guidance, technical advisory support for project implementation, review implementation progress on a periodic basis and resolving project coordination and implementation bottlenecks that may arise. The meeting of the NSC and PTC shall be held once every quarter (4 times year) and at any time it is considered necessary, during the project implementation. Contrary to the above requirements, review of NSC and PTC minutes revealed that those committees met once during the year ended 30 June 2024. Risk	<i>A precaution for technical committee meeting was taken to conduct the meetings on a regular basis with recent meeting in June 2024, the next is expected in October 2024. The organization of frequent quarterly meetings is still a challenge due to busy agenda for the management (ministers. In this regard, the issue was mentioned to financiers and a coordination meeting was set to take place with technical management on a monthly basis to fill the gap.</i>		<i>The management committed to revise the management comments by adding a statement that it will request for revision of times required by the agreement to hold National Steering Committee (NSC) and Project Technical Committee (PTC).</i>

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	Lack of regular meetings by NSC and PTC implies non-compliance with financing agreement and can result in a deficiency or inadequacy of oversight role, coordination and technical advisory support for the project implementation may not be exercised on time. Recommendation Going forward, the National Steering Committee (NSC) and the Project Technical Committee (PTC) should convene quarterly basis meeting, as stipulated by the agreement to exercise their responsibilities.			
II.	U-SACCOS Automation Project towards cooperative bank			
1.	Pending issues raised in Open Ticket Request System (OTRS) for long period Observation On 15th October 2024, the field visit conducted at SACCO Ifumba y'ubukire in Rambura Sector, Nyabihu District, revealed the following pending issues raised in OTRS on 15th June 2024 and pending for a period of 122 days but not yet responded up to the time of audit: ✓ <i>Issues related to loan services</i> - There are cases of members of (IFUMBA Y'UBUKIRE SACCO located in Nyabihu District) who finished to pay the loans but the system does not refund back to them their security saving. - Advance payment of loan related to agriculture; the system does not provide the way he/she can pay the interest due - One client with principal amount of Frw 250,000 and interest of Frw 25,000 wished to pay in advance on 17/06/2024 but system charges him the principal only - System does not display list of clients paid VAT - Agriculture loan is normally paid in five months, but system obliges them to pay in four months	<i>Issues related to loan services: There are cases of members of (IFUMBA Y'UBUKIRE SACCO located in Nyabihu District) who finished to pay the loans but the system does not refund back to them their security saving:</i> <i>The cases were noted and this will be corrected • Advance payment of loan related to agriculture; system does not provide the way he/she can pay the interest due: agriculture loans don't follow accrual method; the loan repayments follow the contracted seasonal payment plan. The early repayment function for Agriculture loans is a product adjustment that has been factored in the D-SACCO CBS.</i> <i>One client with principal amount of Frw 250,000 and interest of Frw 25,000 wished to pay in advance on 17/06/2024 but the system charges him the principal only: this was not part of the business requirements however; it has been built in phase 2 CBS for D-SACCO.</i>	<i>The management comments did not provide the way forward to solve the issues raised but not yet responded for long period.</i>	<i>The management committed to revise the management comment by adding way forward.</i>

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• System does not display loan inventory at certain period ✓ <i>Accounting issues</i> • System does not provide the room to enter voucher reference number • System does not show all transactions done at cashier • System does not display the list of persons to which SACCO withheld their taxes • System does not show budget setting • System does not show the list of new account opened ✓ <i>Auditing issues</i> • Internal auditor does not have right to check every transaction done by accountant and loan officer Risk Failure to respond these issues on time may hinder the timely service delivered to the beneficiaries and detection for fraud or errors on time. Recommendation Management should support the SACCOs by responding their raised issues on time so that they can provide services smoothly	<i>System does not display list of clients paid VAT: Automation was for as-is practicing. Loan income is not charged VAT since the Financial Institution pays.</i> <i>System does not display loan inventory at certain period. The system provides real time statements and loan positions for report downloads that are to be archived by the SACCO.</i> Accounting issues <i>System does not provide the room to enter voucher reference number. These are auto-generated by the system in the accounting module. System does not show all transactions done at cashier: All cashier transactions are summarized in the daily till report.</i> <i>System does not display the list of persons to which SACCO withheld their taxes.: Withheld taxes are recorded for each individual Term Deposit account. The above stated aggregated report was not part of the business requirements during SACCO automation phase but will be considered under Consolidation Phase.</i> <i>System does not show budget setting.: The CBS provides a requisition functionality.</i> <i>The budget feature will be provided as an auxiliary module after the D-SACCO MVP since this was not provided as a priority</i>		
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		business requirement by SACCOs to the Project. System does not show the list of new account opened. This has not come up as a business request from Automated SACCOs. However, it's available on the daily report that the CBS submits to BNR through EDWH. Auditing issues Internal auditor does not have right to check every transaction done by accountant and loan officer: Based on banking practices and QA firm reviews, this setup a user matrix provided to deliver segregation of duties. The transaction details are checked by the user with "U-SACCO Manager" rights. The user with "internal auditor" rights can "view-only" the related transactions through the daily reports.														
III.	PFM REFORM BASKET FUND															
1.	• Long outstanding payables Again, the review of the aforesaid account payables shows an amount Frw 1,260,000 kept in books of account for the period ranging from 2.43 to 5.5 years without payment. <i>For more details see the table below:</i> <table border="1"> <thead> <tr> <th>S / n</th> <th>Description</th> <th>Amount</th> <th>Date of invoice</th> <th>Date of Audit</th> <th>Elapsed time</th> </tr> </thead> <tbody> <tr> <td></td> <td></td> <td>Frw</td> <td>A</td> <td>B</td> <td>C=(B-A)/365</td> </tr> </tbody> </table>		S / n	Description	Amount	Date of invoice	Date of Audit	Elapsed time			Frw	A	B	C=(B-A)/365	None.	After discussions, the management committed to provide the management comment and validation by auditors.
S / n	Description	Amount	Date of invoice	Date of Audit	Elapsed time											
		Frw	A	B	C=(B-A)/365											

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1	Mpore Liberte Clinic	795,000	02/06/202 2	05/11/ 2024	2.43
2	Returned payments	465,000	08/05/201 9	05/11/ 2024	5.5
Total		1,260,00 0			

Risks

- In absence of verifiable supporting documents, completeness, accuracy of payables reported in Public financial management reform basket fund financial statements could not be confirmed.
- Keeping the long outstanding payables in the books of account mislead the users of financial statements

Recommendations

- Project management should ensure that all account payables recorded in the books of account are supported by verifiable supporting documents.
- Management should investigate why the above liabilities have been long outstanding without payment and resolved them in accordance with the results of the investigation.

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2.	Delay in bid evaluation process Observation Article 51 paragraph 2 of the ministerial order n° 001/23/10/ TC of 10/10/2023 establishing regulations governing public procurement states that the evaluation of bids is done within a period not exceeding 21 days from the date of bids opening. However, when the procuring entity cannot evaluate bids within this period, bidders are notified of the reasons within three days to be counted from the 21 days specified in this paragraph. Contrary to this provision, the audit noted a case where bids evaluation for tender totaling Frw 48,616,000 was completed with a delay of 19 days beyond the required twenty-one (21) calendar days. In addition, the bidders were not given any explanation for this delay. <i>See more details in appendix 2.</i> Risk Delayed evaluation of bids may negatively affect the timely realization of intended objectives. Recommendation Project Management should ensure that bids are evaluated within the specified time according to the procurement laws and regulations in force regarding evaluations. Going forward, management should notify reasons for delay to bidders within the time required by the law.	<i>No delay at all. 21 days is evaluation at every stage. as you can see from this table, only 37 days were used instead of 49 days provided by the Law from opening of technical to notification of financial evaluation.</i>	<i>Procurement law states 21 days as a period that evaluation should took. The number of days indicated by management in comment is not provided by the law.</i>	<i>The meeting agreed further discussions of the procurement and audit team on evaluation of tenders with stages after the meeting.</i>
IV.	PFM REFORM PROJECT			
1.	Audit concerns on contract to design, development and deployment of IFMIS data warehouse with business intelligence and advanced analytics capabilities Observations	<i>Considering that this is a consultancy contract which is paid on deliverable basis, there is no loss since the payment made was equivalent to the assignment delivered. in this case, the firm delivered</i>	<i>Since the new contractor is not yet recruited, there is no insurance that the</i>	<i>The meeting agreed to hold a technical meeting with IT technicians for further assessment.</i>

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On 07 September 2023, SPIU MINECOFIN signed one-year contract worth Frw 1,176,325,000 with TIGERSOFT Ltd for design, development and deployment of IFMIS data warehouse with business intelligence and advanced analytics capabilities. The contract was to be executed up to 07 September 2024. However, review of the above contract revealed the following irregularities: • Failure to deliver by the contractor In the signed contract, four deliverables were to be done namely: inception report, data governance, data warehouse implementation and data analytics implementation and training. However, the contractor failed to deliver the required works. During the contract period only, inception report was provided and the contractor was paid 20% equal to Frw 227,040,000 of total contract amount upon its provision. Though various communication provided, on 26 August 2024 (12 days prior to contract completion date) the contractor requested the time extension of 5 months but the request was not accepted by the management of the project. • Unrecovered amount which will lead to loss of project funds During the execution of the above contract, 20% of contract amount equal to Frw 227,040,000 was paid to TIGERSOFT Ltd upon provision of inception report and since the contractor failed to deliver, the audit is in view that this amount will not be recovered which is a loss of government funds. It should be noted that on 13 September 2024, SPIU MINECOFIN wrote a letter to ZIGAMA CSS requesting to seize a performance guarantee of Frw 58,816,250 provided by TIGERSOFT Ltd due to failure to perform the contract by the consultant, but up to the time of audit in end of October 2024, no	an inception report including the Data Governance which is a document for MINECOFIN. • The letter for seizure of performance security signed and submitted to ZIGAMA CSS on 30/09/2024. attached is the letter.	new contractor will not invoice again the inception report.
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	evidence provided to the audit team showing that this performance guarantee was received to reduce the loss incurred. Risks • The intended objective of the contract was not achieved. • Irrecoverable amount constitutes a loss of government funds. Recommendations • The project management should do the needful to get another contractor to design, development and deployment of IFMIS data warehouse with business intelligence and advanced analytics capabilities to ensure that all planned activities are fully implemented • PFM Reform project management should make follow up to ensure this performance guarantee amount is received.														
2.	Unsupported reimbursable expenses paid to PwC In the signed contract, both parties agreed that following reimbursable expenses will be paid to the consultant upon justification. <i>See detail in the tables below:</i> Reimbursable expenses rates before contract amendment: <table><tr><th>S / n</th><th>Description</th><th>Unit Cost (USD)</th><th>Frequency</th></tr><tr><td>1</td><td>Per diem including accommodation</td><td>185</td><td>Per day per person. The number of days will be determined and agreed upon before commencement of each service order.</td></tr><tr><td>2</td><td>Air ticket from Europe</td><td>1,000</td><td>Per service Order but not exceeding 2 air tickets per year</td></tr></table>	S / n	Description	Unit Cost (USD)	Frequency	1	Per diem including accommodation	185	Per day per person. The number of days will be determined and agreed upon before commencement of each service order.	2	Air ticket from Europe	1,000	Per service Order but not exceeding 2 air tickets per year	<i>On the reimbursement of per diems, Management considers supporting documents related to per Diems to be proof payment by PWC to third parties (Consultants who are part of the contract and such consultants should have signed receipt of the per diem).</i>	<i>After discussions, the meeting agreed that the auditors will reassess the issue and inform the management team.</i>
S / n	Description	Unit Cost (USD)	Frequency												
1	Per diem including accommodation	185	Per day per person. The number of days will be determined and agreed upon before commencement of each service order.												
2	Air ticket from Europe	1,000	Per service Order but not exceeding 2 air tickets per year												

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3	Air Ticket from West Africa	750	Not exceeding 2 air tickets per service Order depending on the length of the service order. The frequency to be discussed at the time of issuing a service order
4	Air Ticket from East Africa	350	
5	Local transport within Kigali	10	Per trip but not exceeding \$ 220 per month for the whole team
6	Communication +Internet	100	Per month for the whole team
7	Printing (100-page document) Document	25	Per year

Reimbursable expenses rates after contract amendment:

S / n	Description	Unit Cost (USD)	Frequency
1	Per diem including accommodation	185	Daily rate for any consultant onsite for a duration less than 22 days (short term)
2	Accommodation	1,500	Monthly rate for any International Consultant working onsite for a duration exceeding 22 working days
3	Air ticket	Actual cost of the ticket	Refund for cost of air tickets to be based on the prevailing rates for the economy class. Quantity of the tickets will be specified in the service orders

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4	Local transport within Kigali	10	Per trip but not exceeding \$ 220 per month for the whole team
5	Communication+ Internet	100	Per month for the whole team
6	Other costs	Need basis	To be analysed and approved by the contract manager

However, review of the above contract management revealed that out **Frw 237,393,248** paid by the project as reimbursable expenses in the year ended 30 June 2024, only **Frw 14,021,068** were supported. The remaining balance totaling **Frw 223,372,180** do not have supporting documents. *See more details below table:*

S / n	Date	Description	Total amount paid	Supported amount	Unsupported amount
			Frw	Frw	Frw
1	07/11/2023	Reimbursement fees for price water house coopers Rwanda ltd PWC for expenses incurred on the deputy team leader AMON DHLIWAYO for air tickets and per diems for the period of February to June 2022	28,657,552	4,330,480	24,327,072
2	21/02/2024	Reimbursement fees for price water house coopers Rwanda ltd PWC for expenses incurred on air tickets and per diems	89,732,648	3,837,188	85,895,460

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			for the period between July 2022 to September 2023						
	3	09/0 5/20 24	Reimbursement fees for price water house coopers RWANDA ltd PWC for expenses incurred on per diems, local transport communication and internet for the period between February to March 2024	42,55 9,232	1,024, 400	41,534, 832			
	4	09/0 5/20 24	Reimbursement fees for price water house coopers Rwanda ltd PWC for expenses incurred on per diems for the period between September 2023 to January 2024 and local transport for the period between July 2022 to January 2024	76,44 3,816	4,829, 000	71,614, 816			
			Total	237,3 93,24 8	14,021 ,068	223,37 2,180			
	The audit is in view that the reimbursable amount should be paid upon presentation of all supporting document of the incurred expenses.								
3.	Slow progress of contract execution Observation						The overall progress of the contract is beyond. 25% represents the amount paid for invoiced contract deliverable. However, the	No progress report showing the progress	The management committed provide current progress

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On 22 January 2024, SPIU MINECOFIN signed two consultancy contracts with Chartered Institute of Public Finance & Accountancy (CIPFA) to develop interactive learning materials for the revamped CPA qualification via a learning management system (LMS) and to secure Computer Based Examination (CBE) at the Institute of Certified Public Accountants of Rwanda (ICPAR). <i>See details in the table below:</i>	<table><tr><th>Title of contact</th><th>Contract duration</th><th>Contract signing date</th><th>Contract start date</th><th>Contract amount</th></tr><tr><td></td><td></td><td></td><td></td><td>Frw</td></tr><tr><td>Consultancy to develop interactive learning materials for the revamped CPA qualification via a learning management system (LMS)</td><td>1 year</td><td>22/01/2024</td><td>27/12/2024</td><td>433,716,560 (Tax inclusive)</td></tr><tr><td>Consultancy services to secure Computer Based Examination (CBE) as service for the Institute of Certified Public Accountants of Rwanda (ICPAR)</td><td>1 year</td><td>22/01/2024</td><td>27/12/2024</td><td>495,82,8062 (Tax inclusive)</td></tr></table>	Title of contact	Contract duration	Contract signing date	Contract start date	Contract amount					Frw	Consultancy to develop interactive learning materials for the revamped CPA qualification via a learning management system (LMS)	1 year	22/01/2024	27/12/2024	433,716,560 (Tax inclusive)	Consultancy services to secure Computer Based Examination (CBE) as service for the Institute of Certified Public Accountants of Rwanda (ICPAR)	1 year	22/01/2024	27/12/2024	495,82,8062 (Tax inclusive)	overall implementation of the contract is beyond 25% because the bulk of the work is in developing learning materials and the exams which are expected to be completed in October, 2024. There, the management is confident that by the end of the project all the deliverables will have been delivered as per the contract. Therefore, there is no risk of insufficient value for money, as no public funds will be disbursed without corresponding deliverables, and the execution is consistent with the terms of the signed contract to date.	which was above 25% provided to the audit team.	reports for validation.
Title of contact	Contract duration	Contract signing date	Contract start date	Contract amount																				
				Frw																				
Consultancy to develop interactive learning materials for the revamped CPA qualification via a learning management system (LMS)	1 year	22/01/2024	27/12/2024	433,716,560 (Tax inclusive)																				
Consultancy services to secure Computer Based Examination (CBE) as service for the Institute of Certified Public Accountants of Rwanda (ICPAR)	1 year	22/01/2024	27/12/2024	495,82,8062 (Tax inclusive)																				
However, the audit noted that 73% of contract period is elapsed while the completed deliverables are at 25 % by the time of audit in September 2024. <i>See more details in appendix 4.</i> It should be noted that the platform where these contracts' deliverables would be performed by the consultant was not yet provided by ICPAR up to the time of audit in October 2024 and the project which is funding this contract is ending on 31 December 2024.																								

MINUTES OF EXIT MEETING BETWEEN AUDITORS/OAG AND SPIU MINECOFIN IN RESPECT OF THE AUDIT OF PROJECTS (PUBLIC FINANCE MANAGEMENT REFORM BASKET FUND, PUBLIC FINANCE MANAGEMENT REFORM PROJECT, SPIU-MINECOFIN, ACCESS TO FINANCE FOR RECOVERY AND RESILIENCE AND U-SACCOs AUTOMATION PROJECT TOWARDS COOPERATIVE BANK) FOR THE YEAR ENDED 30 JUNE 2024.

Risk There is a risk of contracts end and project completion before completion of all deliverables stated in the contracts. In addition, value for money principles could not be realized in the utilization of the public funds; Recommendation PFM Reform project management should liaise with ICPAR to develop a catch-up plan of remaining deliverables, make a proper follow up and ensure that the outstanding activities are completed on time to avoid extensions.			
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Minutes prepared by

Digitally signed
by KAYITARE
Etienne

KAYITARE Etienne

Auditor/ OAG

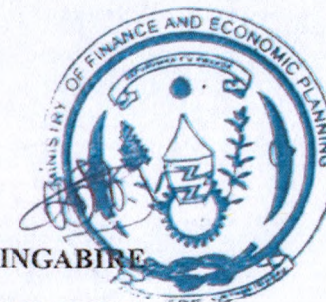
AHUMUZA Emmanuel Keita

Financial Mgt Specialist / SPIU MINECOFIN

Approved by:

HARUNA TWAHA

Audit Director/OAG



Marie Ange H. INGABIRE

HOD CS / MINECOFIN

